1.

CASE #	CASE NAME	HEARING NAME
CVME2513621	HUNTER VS DIGITAL FEDERAL CREDIT UNION (DCU)	MOTION TO COMPEL ARBITRATION

Tentative Ruling: Motion to Compel Arbitration is granted. Case is stayed pending arbitration.

Standard - Arbitration is a matter of contract. (C.C.P. § 1281, 1281.2; *Unimart v. Superior Court* (1969) 1 Cal.App.3d 1039, 1045). A party to the arbitration agreement may seek a court order compelling the parties to arbitrate the dispute covered by the agreement. (C.C.P. § 1281.2.) The petition/motion to compel must set forth the provisions of the written agreement and the arbitration clause verbatim, or such provisions must be attached and incorporated by reference. (CRC Rule 3.1330; *see also Condee v. Longwood Mgmt. Corp*. (2001) 88 Cal.App.4th 215, 218–19.) This rule does not require the petitioner to authenticate the agreement or do anything more than allege its existence and attach a copy. (*Condee, supra*, 88 Cal.App.4th at 218-19.) The burden then shifts to the opposing party to demonstrate the falsity of the purported agreement. (*Condee*, *supra*, 88 Cal.App.4th at 218–19.)

There is a strong public policy in favor of arbitration agreements." (*Blake v. Ecker* (2001) 93 Cal.App.4th 728, 741.) Upon the petition/motion of a party to an agreement to arbitrate, the court must grant a petition to compel arbitration unless it finds: no written agreement to arbitrate exists; the right to compel arbitration has been waived; grounds exist for rescission of the agreement; or litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues. (C.C.P. § 1281.2.)

"In ruling on a petition to compel arbitration, the trial court may consider evidence on factual issues relating to the threshold issue of arbitrability … Parties may submit declarations when factual issues are tendered with a motion to compel arbitration." (*Engineers & Architects Assn. v. Community Development Dept.* (1994) 30 Cal.App.4th 644, 653.) In the summary proceedings on a motion to compel arbitration, "the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court's discretion, to reach a final determination." (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972.)

Existence of An Arbitration Agreement -Both the Federal Arbitration Act ("FAA") and the California Arbitration Act require the existence of a valid arbitration agreement, before arbitration can be compelled. (See 9 U.S.C. §2 and Code Civ. Proc., §1281.2) The party seeking to compel arbitration has the burden of proving the existence of such an agreement by a preponderance of the evidence. (*Ruiz v. Moss Bros. Auto Group* (2014) 232 Cal.App.4th 836, 842.)

In the present case, Defendant attaches a copy of the arbitration agreement to its motion and properly authenticates the agreement. (See, Decl. of Lindsey Thomasian ["Thomasian Decl."] at ¶¶ 2-12, Ex. B.) Thus, it met its burden of establishing an arbitration agreement exists. (See, *Condee*, *supra*, 88 Cal.App.4th at 218–19.) The burden then shifts to Plaintiff to offer admissible evidence to challenge the authenticity of the agreements. (*Ivere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755.) Plaintiff does not dispute that an arbitration agreement exists or contend he did not sign it, instead only contending the agreement is unconscionable. Therefore, Defendant has established an arbitration agreement between the parties exists.

The Arbitration Agreement Is Not Unconscionable - California Law Applies to Determination of Unconscionability - Plaintiff argues that the arbitration agreement is unconscionable and therefore unenforceable. "Under both federal and California law, arbitration agreements are valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract." (*Armendariz v. Foundation Health Psychcare Services* (2000) 24 Cal.4th 83, 98.) "'[G]enerally applicable contract defenses, such as ... unconscionability, may be applied to invalidate arbitration agreements without contravening' the FAA" or California law. (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 246.) The leading U.S. Supreme Court case discussing the scope of arbitration clauses held that the enforcement of an arbitration clause is a matter of ordinary state-law contract principles. (*AT&T Mobility LLC v. Concepcion* (2011) 131 S.Ct. 1740, 1745 (*Concepcion*); see also, *First Options v. Kaplan* (1995) 514 U.S. 938, 944.) This was confirmed in *Sanchez v. Valencia Holding Co, LLC* (2015) 61 Cal.4th 899, where the California Supreme Court found that the U.S. Supreme Court's decision in *Concepcion*, *supra*, 563 U.S. 333, "reaffirmed that the FAA does not preempt generally applicable contract defenses such as fraud, duress, or unconscionability." (*Id.* at 906.) The Court accordingly held that California's unconscionability doctrine was applicable to determine whether an agreement to arbitrate was unconscionable, stating: "[W]e hold that *Concepcion* requires enforcement of the class waiver but *does not* limit the unconscionability rules applicable to other provisions of the arbitration agreement." (*Id.* at 907 [emphasis supplied].)

Unconscionability Generally - A contract is unenforceable if it is unconscionable. (Civ. Code § 1670.5.) "The doctrine of unconscionability contains two components: procedural unconscionability and substantive unconscionability." (*Fitz v. NCR Corp.* (2004) 118 Cal.App.4th 702, 713.) Both must "be present in order for a court to exercise its discretion to refuse to enforce a contract or clause under the doctrine of unconscionability." (*Armendariz*, *supra*, 24 Cal.4th at 114.) The procedural element focuses on oppression and surprise due to unequal bargaining power. (*Ibid.*) The substantive element focuses on overly harsh or one-sided results. (*Ibid*.) The core concern of the unconscionability doctrine is the absence of meaningful choice on the part of one of the parties together with contract terms which are unreasonably favorable to the other party. (*Sonic-Calabasas A, Inc. v. Moreno* (2013) 57 Cal.4th 1109, 1145.) The unconscionability doctrine ensures that contracts, particularly contracts of adhesion, do not impose terms that have been variously described as overly harsh. (*Ibid*.)

Procedural Unconscionability - Procedural unconscionability involves two factors: oppression and surprise. (*Carlson v. Home Team Pest Defense, Inc.* (2015) 239 Cal. App. 4th 619, 631.) "Oppression occurs 'where a contract involves lack of negotiation and meaningful choice' and surprise involves the extent to which 'the allegedly unconscionable provision is hidden within a prolix printed form.'" (*Haydon v. Elegance at

Dublin (2023) 97 Cal. App. 5th 1280, 1287.) Oppression, and therefore procedural unconscionability, is present when the weaker party to a contract is presented with a clause and told to "take it or leave it" without the opportunity for meaningful negotiation. (*McManus, supra*, 109 Cal.App.4th at 91; *Armendariz*, *supra*, 24 Cal.4th at 114-115 [an arbitration agreement is adhesive when imposed on employees as a condition of employment and there was no opportunity to negotiate]; *OTTO*, *supra*, 8 Cal.5th at 126 [an arbitration agreement required as a condition of employment is adhesive].) Other circumstances indicating oppression include: "(1) the amount of time the party is given to consider the proposed contract; (2) the amount and type of pressure exerted on the party to sign the proposed contract; (3) the length of the proposed contract and the length and complexity of the challenged provision; (4) the education and experience of the party; and (5) whether the party's review of the proposed contract was aided by an attorney." (*Otto*, *supra*, 8 Cal.5th at 126-127.) However, the fact that an arbitration clause is adhesive does not as a matter of law render it unenforceable: substantive unconscionability must still be found. (*McManus, supra*, 109 Cal.App.4th at 91.) "[A] sliding scale is invoked whereby the more procedurally oppressive the arbitration clause is, the less evidence of substantive unconscionability is required to warrant the conclusion that the agreements to arbitrate are unenforceable." (*Id*; see also, *Otto*, *supra*, 8 Cal.5th at 130 [where there is substantial procedural unconscionability, even a relatively low degree of substantive unconscionability may suffice to render the agreement unenforceable].)

In the present case, Plaintiff argues that the arbitration agreement is procedurally unconscionable because it was presented as a mandatory part of a membership application. The agreement does appear to be an adhesion contract. (See, Thomasian Decl., Ex. B; *Otto*, *supra*, 8 Cal.5th at 126-127.) However, Plaintiff still must establish that the arbitration agreement is substantively unconscionable. (*McManus, supra*, 109 Cal.App.4th at 91.)

Substantive Unconscionability - "Substantive unconscionability" refers to terms that unreasonably favor one party, i.e., terms that are "unreasonably one-sided" or "so one-sided as to shock the conscience." (*Sonic-Calabasas A, Inc. v. Moreno* (2013) 57 Cal.4th 1109, 1145.) In assessing substantive unconscionability, the "paramount consideration" is mutuality of the obligation to arbitrate. (*Nyulassy v. Lockheed Martin Corp.* (2004) 120 Cal.App.4th 1267, 1287.)

In the present case, Plaintiff points to no terms in the arbitration agreement that are one-sided. Instead, he only argues that Defendant's actions in connection with the loan (a completely separate agreement) were improper, specifically, failing to perfect its lien for almost a year, raising his interest rate by 18%, wrongfully charging off a secured loan without repossessing the collateral, and restricting Plaintiff's other banking services. (Opposition, p. 2.) As none of this conduct is related to the arbitration agreement or any of its provisions, it does nothing to establish that the arbitration agreement is substantively unconscionable. As Plaintiff fails to establish that the arbitration agreement is substantively unconscionable, the motion is granted.

Stay of the Action - Pursuant to C.C.P. § 1284, "[i]f a court of competent jurisdiction, whether in this State or not, has ordered arbitration of a controversy which is an issue involved in an action or proceeding pending before a court of this State, the court in which such action or proceeding is pending shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies." (*Ibid.*) Therefore, this action is stayed pending the completion of arbitration.

2.

CASE #	CASE NAME	HEARING NAME
CVME2512835	WHITTED VS INLAND REGIONAL CENTER	MOTION TO STRIKE 1ST AMENDED PETITION

Tentative Ruling: Hearing Required.

3.

CASE #	CASE NAME	HEARING NAME
CVME2511863	WHITTED VS COASTAL DEVELOPMENTAL SERVICES FOUNDATION	DEMURRER ON 1ST AMENDED PETITION FOR WRIT OF MANDATE

Tentative Ruling: Hearing Required.

4.

CASE #	CASE NAME	HEARING NAME
CVME2511863	WHITTED VS COASTAL DEVELOPMENTAL SERVICES FOUNDATION	MOTION TO STRIKE 1ST AMENDED PETITION FOR WRIT OF MANDATE

Tentative Ruling: Hearing Required.

5.

CASE #	CASE NAME	HEARING NAME
CVME2510328	MARSHALL VS GENERAL MOTORS, LLC	MOTION FOR ATTORNEYS FEE

Tentative Ruling: Motion for Attorney's Fees granted in the reasonable amount of $27,696.50 and Costs of $2,559.80.

Plaintiff moves for attorney fees consisting of $29,114.50, with a 1.2 multiplier of $5,822.90 for a total of $34,937.40, and costs of $2,559.80. The parties resolved the case at mediation. He argues he is the prevailing party and is entitled to counsel's lodestar. He argues that the hourly rates and time spent are reasonable. He argues that a 1.2 multiplier should be granted based on the contingent risk of the case, the exceptional settlement, and the delay in payment. He also argues he is entitled to time on this fee motion.

In opposition, Defendant contends that the fees are unreasonable for the fact that this case settled in six months. It argues that the hourly rates and time spent are high, in light of the fact that there was only two depositions, initial disclosures, and no vehicle inspections. It asserts that the hourly rates are not supported by evidence and not supported for a simple case. It challenges unreasonable and duplicate billing entries, and estimated fees for the motion are unreasonable. It argues the court should issue a negative multiplier is warranted.